

Normalizing an Income Statement:

Key Adjustments for Reliable Analysis

As Reported

Income Statement

Revenue	\$ 10,000
Cost of Goods Sold	(6,200)
Gross Profit	3,800
Operating Expenses	(2,900)
One-time Expenses	(450)
Restructuring Costs	(300)
Operating Profit	150
Other Income (Non-recurring)	400
Interest Expense	(250)
Income Before Tax	300

Normalized

Income Statement (Normalized)

Revenue	\$ 10,000
Cost of Goods Sold	(6,200)
Gross Profit	3,800
Operating Expenses	(2,900)
Adjusted Operating Profit	900
Interest Expense	(250)
Income Before Tax	650



Better
Comparisons



More Accurate
Valuation



Informed
Decision-Making



Stronger
Financial Insights

Financial Analysis



Clear View of Real Earnings

Strong financial analysis starts with a **clear view** of a company's real earnings.



Non-Recurring Items Distort Results

One-time gains and losses — known as **non-recurring items** — can distort financial statements, making it harder for you to assess financial results.



Normalize Income Statements

That's why you need to normalize income statements to **remove these distortions**, ensuring a clearer picture of ongoing business performance.



Build Reliable Financial Models

By adjusting for non-recurring items, you can build more **reliable financial models** for valuation and forecasting.



Improve Comparability

In some cases, you may also adjust for recurring expenses to **improve comparability** across companies.



What This Guide Covers

This guide walks you through the **key adjustments** you need to make to normalize an income statement effectively.



INCOME STATEMENT

	As Reported	Normalized
Revenue	10,000	10,000
Cost of Goods Sold	(6,000)	(6,000)
Gross Profit	4,000	4,000
Operating Expenses	(2,000)	(2,000)
One-time Gain (Disposed Assets)	500	-
Restructuring Costs	(300)	-
Impairment Loss	(200)	-
Operating Profit	1,500	2,800
Interest Expense	(200)	(200)
Income Before Tax	1,300	2,600
Tax Expense	(400)	(800)
Net Income	900	1,800

*Remove distortions.
See the real performance.*

VALUATION

FORECASTING

FINANCIAL MODELING

BUSINESS PERFORMANCE

Identify Non-Recurring Items

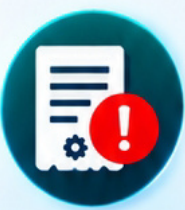
The first step in normalizing an income statement is identifying **non-recurring items** — but this isn't always straightforward.



INCOME STATEMENT	
Revenue	10,000
Cost of Goods Sold	(6,000)
Gross Profit	4,000
Operating Expenses	(2,500)
Operating Profit	1,500
One-time Gain (Disposal of Asset)	500
Restructuring Costs	(300)
Goodwill Impairment	(1,000)
Income Before Tax	1,500
Tax Expense	(400)
Net Income	1,100

Financial Reports
Footnotes
Earnings Calls
Investor Presentations

1 What are Non-Recurring Items?



Non-recurring items are **one-time gains and losses** that are not part of a company's normal business operations. They can distort financial statements, making it harder for you to assess the company's true financial performance.

Examples of Non-Recurring Items



Large lawsuit settlement



Asset impairment



Gain on asset sale



Restructuring costs



Discontinued operations

2 Why It's Not Always Straightforward?



Finding these items requires a **solid understanding of accounting** and the ability to analyze financial statements with a critical eye.



Some one-time items are obvious, like a large lawsuit settlement, but others are **buried deep in financial reports**.

3 The Good News?



Companies are usually willing to **tell you what they think requires adjusting**.



Nearly every company in the **S&P 500** reports adjusting items to present a **"cleaner" version of earnings**.

S&P 500

4 How Companies Label These Adjustments?

Non-GAAP Adjustments



Used by U.S. companies, under Generally Accepted Accounting Principles (GAAP).

Commonly Includes:

- ✓ Restructuring costs
- ✓ Asset impairment
- ✓ Legal settlements
- ✓ Gain/loss on asset sale
- ✓ Other one-time charges

Non-IFRS Adjustments



Used by international companies, under International Financial Reporting Standards (IFRS).

Commonly Includes:

- ✓ Restructuring costs
- ✓ Asset impairment
- ✓ Legal settlements
- ✓ Gain/loss on asset sale
- ✓ Other one-time charges



Identifying non-recurring items is a crucial first step in normalizing an income statement to get a **clearer view** of a company's **ongoing performance**.

Where to Find Non-Recurring Items?

Non-recurring items are often disclosed in:

1 Income Statements



Non-recurring items are often listed directly in the income statement. They may appear as separate line items such as **"Goodwill Impairment."**

Example: Income Statement (Extract)

Particulars	Amount (US\$ Millions)	
Revenue	10,000	
Cost of Goods Sold	(6,000)	
Gross Profit	4,000	
Operating Expenses	(2,500)	
Goodwill Impairment	(500)	Non-recurring item
Operating Profit	3,000	

2 Footnotes in Financial Reports



Footnotes provide **detailed explanations** of line items and adjustments. Look for one-time charges, asset impairments, restructuring costs, or other unusual items.

Example: Footnotes (Extract)

Note 5 – Goodwill Impairment

During the year, the company recognized a **non-cash goodwill impairment charge of \$500 million** related to the discontinuation of operations in its European business. This charge is considered a **non-recurring item** and has been excluded from adjusted earnings.



3 Investor Presentations and Earnings Calls



Companies often **highlight financial adjustments** for analysts in investor presentations and earnings calls. They typically provide a separate table of non-recurring items to show a **"cleaner"** version of earnings.

Example: Investor Presentation (Extract)

Adjusted Earnings Reconciliation (\$ Millions)

Net Income (As Reported)	900	
Add back:		
Restructuring Costs	300	
Asset Impairment	200	
Legal Settlement	100	
Total Non-Recurring Items	600	Non-recurring items highlighted for analysts
Adjusted Net Income	1,500	

Example: Earnings Call (Extract)



"Our reported earnings include a \$300 million restructuring charge, which is a **non-recurring item**. Excluding this adjustment, our adjusted earnings provide a **clearer view of our ongoing performance.**"

Finding Adjustable Items

01



Finding non-recurring or unusual items requires a **solid understanding of accounting** and an ability to read financial reports.



02



It is a **time-consuming process**, but companies are willing to highlight what they think requires adjusting.



03



Nearly every company in the **S&P 500 index** reports adjusting items (called non-GAAP adjustments or non-IFRS adjustments).



04



Adjustments almost always make **the results better**, but most analysts will try to match the company-reported adjustments.

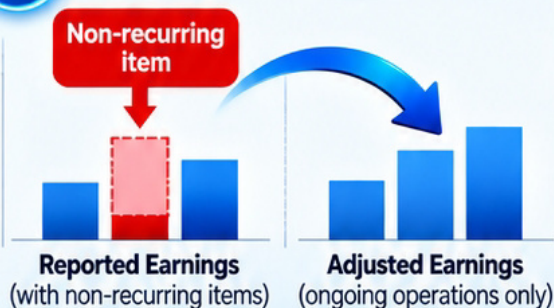


Common Non-Recurring Adjustments

Income Statement

Non-Recurring Items

1 Why These Adjustments Matter?



Non-recurring items can significantly impact a company's earnings, making it seem **more or less profitable** than it actually is.

By adjusting for these events, analysts ensure that a company's financial performance reflects only its **ongoing operations** and not temporary fluctuations.



- ✓ Clearer view of true earnings
- ✓ More reliable analysis
- ✓ Better comparability
- ✓ Improved valuation and forecasting

2 Why Do Companies Report These Adjustments?

One-Time Charges



- Major lawsuit settlement
- Asset impairment
- Restructuring costs
- Discontinued operations
- Other one-time events

Accounting Rules



- Certain accounting rules may not fully capture the financial reality.
- Companies adjust to present a clearer picture of underlying performance.

3 Impact on Financial Analysis



Can make earnings look **higher or more volatile**.



Can make earnings look **lower than actual** ongoing performance.



Adjustments help analysts focus on **core business performance**.



Leads to **more accurate valuation, forecasting**, and comparability across companies.

4 Common Types of Non-Recurring Adjustments

Type of Adjustment	Description / Example	Effect on Income Statement
 Legal Settlements	Large lawsuit or regulatory settlement (e.g., environmental fine).	 Decreases profit (one-time expense)
 Restructuring Costs	Costs related to business reorganization, workforce reduction, or plant closures.	 Decreases profit (one-time expense)
 Asset Impairment	Write-down of assets such as goodwill, property, or equipment.	 Decreases profit (one-time expense)
 Gain or Loss on Asset Sale	One-time gain or loss from sale of a business, property, or investment.	 Increases profit (one-time gain)  Decreases profit (if loss)
 Discontinued Operations	Results from a business segment that is no longer part of core operations.	 Decreases profit
 Acquisition / Integration Costs	One-time costs related to mergers and acquisitions.	 Decreases profit
 Tax Adjustments	One-time tax benefits or charges (e.g., tax reform, disputes).	 Increases profit (if tax benefit)  Decreases profit (if tax charge)
 Other One-Time Items	Unusual or infrequent items not expected to recur (e.g., natural disaster, pandemic costs).	 Decreases profit

Common Non-Recurring Adjustments

Income Statement

Revenue

Operating Expenses

Non-Recurring Items

Net Income

Restructuring

M&A Costs

Asset Sales

Impairments

Litigation

Discontinued Ops



Once you've identified non-recurring items, the next step is to **understand why these adjustments matter** and how they **affect financial analysis**.



Non-recurring items can significantly impact a company's earnings, making it seem **more or less profitable** than it actually is.



By adjusting for these events, analysts ensure that a company's financial performance reflects only its **ongoing operations** and not temporary fluctuations.



Companies frequently report adjustments to their financials, either due to **one-time charges** or **accounting rules** that may not fully capture financial reality.

Non-Recurring Adjustment

Definition

Financial Impact

1



Restructuring Costs

Expenses from layoffs, closures, or reorganizations.



Temporary increase in expenses, **lowers net income**.

2



Mergers & Acquisitions (M&A) Costs

One-time legal, advisory, and integration costs.



Increases expenses, **lowers net income**.

3



Litigation or Regulatory Gains/Losses

Lawsuit settlements or government fines.



Can either **increase** or **decrease** net income.

4



Gains/Losses on Asset Sales

Profit or loss from selling non-operating assets.



Creates one-time **income** or **loss**.

5



Impairments and Reversals

Write-down or recovery of asset value.



Reduces or **increases** reported earnings.

6



Early Debt Extinguishment

Costs incurred when repaying loans early.



One-time loss due to prepayment penalties.

7



Discontinued Operations

Business segments being sold or shut down.



Must be **removed** to assess ongoing operations.

How to Adjust for Non-Recurring Items in Financial Models

Remove Non-Recurring Items
= Clearer & More Accurate Analysis



Once these **non-recurring items** are identified, they must be **removed or adjusted** in financial models using the following steps:

1 Find the reported income statement figures

Reported Income Statement (Example)

Particulars	Amount (US\$ Millions)
Revenue	1,000
Operating Expenses	(700)
EBITDA	300
Non-Recurring Items	(50)
Net Income	150

Income Statement

Start with the company's reported income statement and identify the key line items (revenue, expenses, EBITDA, net income, etc.).

2 Remove non-recurring expenses to isolate ongoing costs

After Removing Non-Recurring Expenses

Particulars	Amount (US\$ Millions)
Operating Expenses (reported)	(700)
Less: Non-Recurring Expenses	50
Adjusted Operating Expenses	(650)

Non-Recurring Expenses

- Restructuring costs
- M&A costs
- Litigation expenses
- Asset impairment

Subtract non-recurring expenses (e.g., restructuring costs, legal fees) to reflect only ongoing operating costs.

Remove one-time expenses

3 Exclude one-time gains that artificially inflate net income

After Excluding One-Time Gains

Particulars	Amount (US\$ Millions)
Net Income (reported)	150
Less: One-Time Gains	(30)
Adjusted Net Income	120

One-Time Gains

- Gain on asset sale
- Investment gain
- Insurance proceeds
- Tax benefit (one-time)

Exclude one-time gains that are not part of core business operations, as they can make net income look higher than it actually is.

Exclude one-time gains

4 Adjust EBITDA and net profit margins accordingly

Key Metrics Comparison

Metric	Reported	Adjusted (without non-recurring)
EBITDA (US\$ Mn)	300	350
Net Income (US\$ Mn)	150	120
EBITDA Margin	30%	35%
Net Profit Margin	15%	12%

- Recalculate EBITDA and net profit margins using the adjusted figures to better reflect the company's ongoing operational performance.

Adjusted margins give a clearer picture of ongoing performance

Making Other Adjustments for Recurring Expenses

Analysts sometimes adjust for **recurring expenses** to improve comparability across companies. These adjustments don't eliminate one-time distortions but instead **align accounting treatments** across different companies.

Recurring Expenses	
☒	Depreciation
☒	Amortization
☒	Stock-based compensation
☒	Lease expenses
☒	R&D expenses
☒	Other recurring items

Why Do Analysts Make These Adjustments?

1



These items **appear on the income statement every year**, but they may distort financial comparisons.

2



Differences in accounting treatment across companies can make like-for-like comparison difficult.

3



Companies often **encourage analysts to adjust for these items** so financial metrics better reflect economic reality.

4



The goal is **greater comparability** and a clearer understanding of a company's true performance.

Common Recurring Adjustments and Reasons

Recurring Adjustment	Description	Why Analysts Adjust
 Depreciation & Amortization	Non-cash charges for tangible and intangible assets.	Different companies may use different useful lives, methods (e.g., straight-line vs. accelerated), and estimates, affecting comparability.
 Stock-Based Compensation (SBC)	Expenses for employee stock options and equity awards.	Treatment and magnitude vary across companies, and it is a non-cash expense.
 Lease Expenses (Operating Leases)	Rent/lease payments for operating leases.	Some companies still report operating leases off-balance sheet (depending on accounting rules), making comparisons inconsistent.
 Research & Development (R&D)	Costs for product development and innovation.	Some companies capitalize R&D while others expense it, leading to differences in reported earnings.
 Acquisition-Related Expenses (Recurring)	Ongoing integration, advisory, or transaction-related costs that may recur annually.	Frequency and magnitude vary across companies, making comparisons difficult.
 Restructuring Expenses (Recurring)	Ongoing costs from long-term reorganization programs.	May recur over multiple years and vary by company strategy.
 Other Recurring Items	Examples: pension costs, foreign currency gains/losses, provisions, or other operating expenses.	Accounting treatment and frequency can differ, impacting comparability.

Common Recurring Adjustments

- ✓ Improve Comparability
- ✓ Align Accounting Treatments
- ✓ More Accurate Analysis



Analysts sometimes adjust for **recurring expenses** to improve comparability across companies. These adjustments don't eliminate one-time distortions but instead **align accounting treatments across different companies**.



Why Do Analysts Make These Adjustments?

Even though the following items **appear on the income statement every year**, they may distort financial comparisons due to **differences in accounting treatment**. Companies often encourage analysts to adjust for them so that financial metrics better reflect economic reality and increase comparability.

Recurring Adjustment

Why It's Adjusted

1

Stock-Based Compensation



- Non-cash expense (e.g., stock options and equity awards).
- Affects reported earnings and EPS, but does not impact actual cash flow.

Non-Cash Expense



Impacts EPS but not cash flow

2

Amortization of Acquired Intangibles



- Created when a company acquires another business.
- Causes inconsistencies between companies that acquire assets vs. those that internally develop them (which do not have amortization charges).

Creates Comparability Issues



Acquired vs. Internally Developed Assets

3

Amortization of Debt Discounts



- Non-cash accounting expense that arises when a company issues debt at a discount.
- Does not impact actual interest payments or cash flow.

Non-Cash Expense



No impact on actual interest payments

4

LIFO vs. FIFO Adjustments



- Companies use different inventory accounting methods (LIFO or FIFO).
- Can significantly affect cost of goods sold (COGS), gross profit, and net income.
- Adjustments ensure comparability across companies using different methods.

Ensures Comparability



Aligns financial metrics across companies

Adjust for Tax Implications

After Removing Non-Recurring Items

Adjustments

Tax Impact

Accurate Models

Better Valuation

1



Many non-recurring items are **tax-deductible expenses**.

2



Removing these expenses **increases taxable income**.

3



Therefore, taxes must be **adjusted upward**.

4



If one-time gains are removed, taxable income decreases, requiring a **downward tax adjustment**.



Ignoring tax implications can lead to inaccurate financial models.

If analysts remove a large non-recurring expense but fail to increase tax expenses accordingly, they **overstate adjusted net income**.

Example: Adjusting for a Large Non-Recurring Expense

1

Reported Financials (With Non-Recurring Expense)

Particulars	Amount (US\$ Millions)
Revenue	2,000
Operating Expenses (including \$756M non-recurring)	(1,200)
Operating Income	800
Tax Expense (25%)	(200)
Net Income (Reported)	600

2

Remove Non-Recurring Expense

Particulars	Amount (US\$ Millions)
Revenue	2,000
Operating Expenses (excluding non-recurring)	(444)
Adjusted Operating Income	1,556
Adjusted Tax Expense (25%)	(389)
Adjusted Net Income	1,167

3

Calculate the Tax Adjustment

Non-Recurring
Expense Removed
\$756M

×

Tax Rate
25%

=

Additional
Tax Expense
\$189M



Result: When the \$756M non-recurring expense is removed, **\$189 million of additional tax expense** must be recorded in the normalized income statement.

Key Takeaways

- ✓ Adjust taxes when removing non-recurring items.
- ✓ Use the applicable tax rate (e.g., 25%).
- ✓ Consider tax impact for both one-time expenses and gains.
- ✓ Ensures normalized net income reflects post-tax profitability.
- ✓ Leads to more accurate comparisons and valuation models.

Review the Final Normalized Income Statement



- ✓ Remove Non-Recurring Items
- ✓ Adjust Taxes
- ✓ Calculate True Ongoing Profitability



Now that we've **removed non-recurring items** and **adjusted taxes**, we can calculate the final normalized net income and assess a company's true ongoing profitability.

Example: Reported vs. Normalized Income Statement

Particulars (US\$ Millions)	Reported (As per Financials)	Adjustments	Normalized (Adjusted)
Revenue	2,000	–	2,000
Operating Expenses (including non-recurring)	(1,200)	+ 756 (Remove non-recurring expense)	(444)
Operating Income (EBIT)	800	+ 756	1,556
Interest Expense	(100)	–	(100)
Pre-Tax Income	700	+ 756	1,456
Tax Expense (25%)	(175)	(+189) (Increase tax due to higher income)	(364)
Net Income	525	+ 567	1,092

Key Financial Metrics Impacted by Normalization

1 Net Income Margin

Measures profitability as a percentage of revenue.



$$\text{Net Income Margin} = \frac{\text{Net Income}}{\text{Revenue}} \times 100$$

Reported
26.3%

Normalized
54.6%

2 EBITDA Margin

Shows operating profitability before interest, taxes, depreciation, and amortization.



$$\text{EBITDA Margin} = \frac{\text{EBITDA}}{\text{Revenue}} \times 100$$

Reported
15.0%

Normalized
40.0%

3 Leverage Ratio (Net Debt/EBITDA)

Evaluates a company's financial health and debt burden.



$$\text{Net Debt/EBITDA} = \frac{\text{Net Debt}}{\text{EBITDA}}$$

Reported
3.5x

Normalized
1.8x

Why Normalization Matters?



- ✓ **Compare Profitability**
Across companies and industries without one-time distortions.



- ✓ **Assess Long-Term Performance**
By focusing on ongoing operations.



- ✓ **Ensure Accurate Valuation Models**
By using reliable earnings figures.

Key Takeaways



A company's reported earnings might make it look **more or less profitable** than it truly is.



Normalization ensures a clear view of **true ongoing profitability**.



It directly impacts **key financial metrics** and leads to more accurate comparisons and valuation models.

Apply Normalized Income Statements to Real-World Financial Analysis



Understanding how to **normalize an income statement** is critical for **financial analysts, investors, and corporate finance professionals**.

Whether you're analyzing a company for investment, building financial projections, or conducting due diligence, normalized income statements give you a **more accurate foundation for decision-making**.



Key Real-World Applications

1 Investment Analysis

Helps investors assess a company's true profitability and compare it with peers.



2 Financial Projections

Provides a clean and consistent earnings base for forecasting future performance.



3 Due Diligence

Helps identify and adjust one-time items to understand the company's underlying financial health before a transaction.



From Reported to Normalized: A Real-World Example

Reported Income Statement (Example)

Particulars	Amount (US\$ Millions)
Revenue	2,000
Operating Expenses	(1,200)
Operating Income	800
Non-Recurring Expense (Restructuring Cost)	(200)
Pre-Tax Income	600
Tax Expense (25%)	(150)
Net Income (Reported)	450

After adjusting for non-recurring items and taxes, we get a clearer view of the company's ongoing profitability.

Normalized Income Statement (Example)

Particulars	Amount (US\$ Millions)
Revenue	2,000
Operating Expenses (excluding non-recurring)	(1,000)
Operating Income	1,000
Pre-Tax Income	1,000
Tax Expense (25%)	(250)
Normalized Net Income	750

Benefits of Using Normalized Income Statements



More Accurate Comparisons

Compare companies and industries without one-time distortions.



Better Decision-Making

Use reliable earnings figures for investment, valuation, and strategic planning.



Clearer View of Financial Health

Focus on ongoing operations to assess long-term performance.